

Week ending 14th August 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES 24.0 Billion worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills were subscribed recording subscription rates of **159.34% ,94%** and **65%** respectively. The CBK accepted KES 6.4B, 6.9B and 5.3B respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

The Central Bank of Kenya (CBK)opened a tap sale on a bond **FXD2/2018/20** in a bid to raise **40 Billion.** The total bids received at face value were 40.2B while the total bids accepted were worth 41B.

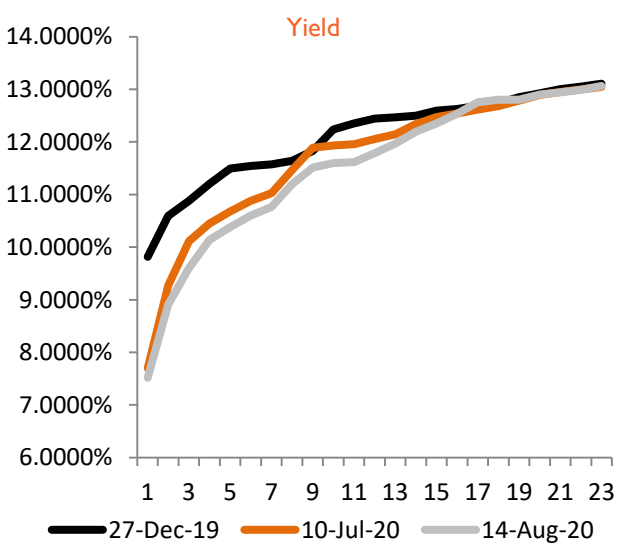
In August, Central Bank of Kenya is opening an infrastructure bond **IFB1/2020/11** in a bid to raise **70 Billion**. The period of sale runs from **28/07/2020** to **18/08/2020**. The coupon rate is **10.900%.** The **IFB1/2020/11** is tax free.

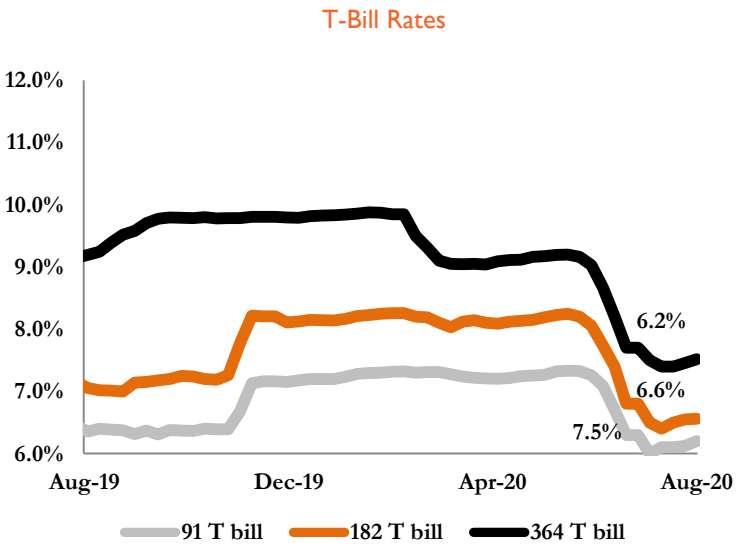
Key Indicators

	Current	Previous	% Change
91-day	6.20%	6.12%	1.31%
182-day	6.56%	6.55%	0.15%
364-day	7.52%	7.46%	0.80%
Interbank	1.83%	2.34%	-21.79%

Macroeconomic data	Current	Previous
GDP (1Q20 vs. 1Q19)	4.9%	5.5%
Inflation (July)	4.36%	4.59%
Private sector credit growth (May)	8.1%	9.0%
Money Supply (March)	4.9%	7.3%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week, depreciating by **0.29%** to stand at **108.31**.The CBK's usable forex reserves currently stand **USD9246million** (**5.6** months of import cover) as at August 13th a **0.49%** decrease from **USD9,290million**(**5.64** months of import cover) as at August 6th

Inflation

Inflation decreased from to **4.59%** in June to **4.36%** in July. The CPI increased by **0.08%** to **108.35** from **108.27.**

GDP growth

Growth receded to **4.9%** in 1Q20 from **5.5%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.2%** to **4.9%** Year-on-year, other sectors have grown at a slower rate including manufacturing, construction and accommodation that slowed down by **0.6%,0.8%** and **9.3%** respectively.

CONTACTS:

Research Desk:

Sarah Wanga
wangas@aibcapital.com
(+254) 711047105

Linda Kiraithe
lkiraithe@apexafrica.com

Equities Dealing:

Bernard Kung'u
kungub@aibcapital.com
(+254) 711047108

Benard Gichuru
gichurub@aibcapital.com
(+254) 711047111

Brian Tanui
tanuib@aibcapital.com
(+254) 711047124

Samuel Githinji
sgithinji@apexafrica.com
(+254) 719687633

Bond Dealing:

Crispus Otieno
otienoc@aibcapital.com
(+254) 711047113

Titus Marenye
marenyet@aibcapital.com
(+254) 711047118

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.